

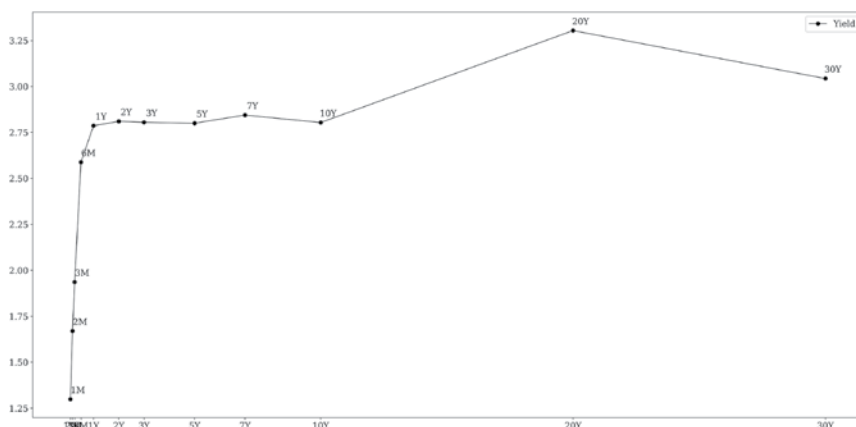


FIGURE 2.9 US benchmark yield curve.

Take a look at Figure 2.9. Starting on the left end we have the short-term interest rate futures, often based on loans of 30 or 90 days. These futures, often shorted down to just STIRs, are bets on changes in interest rates on the left side of the curve. The major difference between this sector and the bond futures is the aforementioned massive difference in potential price moves on the left and the right side of the curve. If the 30-year US Bond moves 1% in a day, that is a slightly larger than normal move, but nothing to write home about; a 1% move in a STIR future, on the other hand, would take a cataclysmic world event. The quick conclusion from this should be that one needs to take massive leverage in STIRs to get any form of profit or loss that actually matters, as scary as that might sound.

Also be careful to get the underlying contract value and the point value right since this works a little differently than for other sectors. Let's take the Eurodollar as an example, which is based on the three months US Dollar LIBOR – although don't confuse this with the currency rate Euro/Dollar which is something completely different. The term Eurodollar was coined long before the European currency was conceived and refers to the interest rate of time deposits in USD outside the United States. The notional underlying of this contract is US\$1 million and quoted as 100 minus the annual three months LIBOR rate. To get to the point value, you therefore need to first divide the notional by 100, just like you would with bond futures, but you also need to divide again by four because the contract is for the quarterly rate and not the annual, despite being quoted as such. So if the Eurodollar contract moves from 98 to 99, the profit or loss impact on one